Lecture 8: Elasticity and total revenue

ECO101 · Prof. Okafor

Today we connect elasticity to what sellers earn when they change the price.

A price rise pays only when buyers keep buying.

Bring Problem Set 4: question 2 asks about a straight demand line.

Total revenue

Total revenue is price times quantity sold.

When demand is inelastic, a price rise increases total revenue, because quantity barely falls.

When demand is elastic, a price rise reduces total revenue, because quantity falls a lot.

Unit elastic demand

When elasticity is exactly 1, a small price change leaves total revenue unchanged.

Along a straight demand line, revenue is highest at the midpoint, where demand is unit elastic.

Above the midpoint demand is elastic; below it, inelastic.